Ethos · Agent Quality Program · Memo to leadership from Vishesh

Earned Trust

Lend smart. Judge early.

Recommendation: price every advance by how well the sale fits the customer, and cap how much Ethos has at risk with any one agent. Agents keep selling, and only misconduct ends a contract. Summit gets the same rules, with no carve-out.

Every sale is rated before it is submitted

Agent submits a sale › **Three checks** Affordable · Billed on payday · Need documented › **Paid upfront**
- Green 90%
- Amber 60%
- Red 30%

Trust Line: each agent's cap on advances not yet earned, plus debt. Above it, the agent is paid as customers pay.

Customers confirm their budget and payday directly with Ethos, not through the agent.

Every advance is a loan. Today Ethos lends blind and judges late.

When a customer stops paying in year one, the agent owes the advance back, and some never repay. Ethos finds out months later and can't tell why, because three different causes look the same.

Careless sale	**Tight budget**	**Our billing**
Oversold, or need not assessed	The customer ran out of money	Charged before payday

After the lapse: identical | **Before the sale: visible**

One sale, two futures

Today Agent Jordan sells to Ana, 47. Her budget is $45 a month, and she is paid on the 1st.

1. **Oversold**
   $250K cover at $64 a month, billed on the 25th, before her payday.
2. **Paid blind**
   Day 1: Ethos advances Jordan about $690. Nothing flags the mismatch.
3. **Lapsed**
   Month 3: after two payments, the third bounces. Ana's family is uninsured.
4. **Debt, no answers**
   Jordan owes about $560. Ethos can't tell why it failed: keep him, or fire him?

With Earned Trust The same sale, caught at minute zero.

1. **Rated**
   Ana confirms with Ethos: $64 is over budget, and she is paid on the 1st. Two checks miss.
   Red · 30% upfront
2. **Fixed in 30 seconds**
   The screen shows the fix: $150K at $41 a month, billed on the 2nd.
   Green · 90% upfront
3. **Kept**
   Month 12: Ana is still paying and her family is covered. Jordan keeps about $490, with no debt.
4. **Capped**
   If Jordan's green sales lapse more than peers', his ratings drop a band. His Trust Line caps the risk.

What changes

For	Today	With Earned Trust
CFO	Unlimited advances, unpaid debt	Every dollar at risk has a ceiling
Head of Sales	Two options: keep or fire	No one is cut off from selling
Summit's founder	Our billing errors land on agents	Ethos pays for its errors; tight budgets aren't punished
Veteran agent	Same deal as bad business	Preferred: 100% upfront on green
Customer	Oversold, then lapsed	Sold what they can keep

Success metrics

☆ **North star metric**

Unearned advances per dollar of premium customers keep paying

Leading: share of green sales; first-payment success.
Lagging: first-year lapse rate, by rating.
Guardrail: sales from agents in good standing don't fall.

Fair and controlled, built in

- **Ethos owns its errors** — Billing-error lapses: Ethos pays
- **Customers confirm** — Directly, not via the agent
- **No small-sample verdicts** — Under 10 policies: coaching only
- **Decisions explained** — A reason and a 10-day appeal
- **Misconduct-only exits** — Weak results move ratings only
- **Saves before lapses** — Payday billing, failed-payment alerts

How the program works

Who we act on

Every sale is rated by three checks; the customer confirms the first two directly with Ethos. Three pass: green. One missed: amber. Two or more: red.

Agents, in three groups: (1) over their Trust Line; (2) green sales lapsing well above peers' (similar policies and customers, other agencies); (3) misconduct. No verdict under 10 policies.

What happens

- **Over the line:** paid as customers pay, with up to 25% repaying old debt. They keep selling.
- **Green sales underperforming:** ratings drop one band.
- **Misconduct** (replacing policies for fresh commission, false applications): human review, the only route to termination.
- **Replacements** are red unless the customer confirms they're better off; upfront pay counts only the added cost.

The way back

- **Every sale is a fresh start.**
- **A rating penalty lifts** once the next 10 sales make their first three payments at peers' rate.
- **The Trust Line regrows** as customers pay and debt clears.
- **Six months** in the best quarter of peers earns Preferred.

Starter	Standard	Preferred	Agency cap
Every new agent: $3,000 Trust Line	Set so about 9 in 10 agents never hit it	Larger line, and 100% upfront on green sales	Every agency: a limit on total unearned advances

Managers: own sales set their own Trust Line; their team's green share and early-payment success set their cut (0.75x to 1.2x) and how many agents they can add each quarter. Agents' debt no longer passes up.

The four agents

Agent	Status	What the program does
Priya	Starter, coaching	Lapses this early may be failed first payments, so we first check whether our billing caused them; if it did, Ethos absorbs them. She stays on Starter, and the checks on every sale coach her live: the training she asked for, built into the product.
Marcus	Over his Trust Line	His debt counts against his Trust Line, so his own new sales are paid as earned until he is back under it. His team keeps its standing, but his cut and the number of agents he can add now follow team quality.
Dana	Standard	We confirm which of her lapses followed our wrong-date charge, absorb them, and offer those customers a restart, which also restores her pay. Nothing else changes: her two-year record stands.
Leo	Review on replacements	His replacements earn upfront pay only where the customer confirms they are better off, and only on the added cost. His past replacements go to human review now; if they left customers worse off, his contract ends.

Priorities, in order

1. Stop paying for growth that disappears.
2. Act on fault, not misfortune.
3. Keep good agents selling.

Knowingly given up

Upfront cash on poorly fitted sales, a slower start for new agents, the cost of our errors and the checks, debt no longer passing up to managers, and some of Summit's volume.

Hardest call: Marcus

If his team writes well, he earns more than now. If not, his pay, team cut and recruiting all shrink at once, and he may walk with his team. I'd still apply the rule: exempting the most powerful person makes every rule negotiable. I'd phase it in over the quarter instead.

Summit: the next 90 days

1

Days 0–30 · Fix our side

Cancel debt from lapses we caused, move customers to payday billing, run checks in shadow mode (no effect on pay).

2

Days 31–60 · Switch on

Rated advances, Trust Lines and agency caps go live for every agency; old debt goes on a repayment plan; Marcus's change phases in.

3

Days 61–90 · Judge outcomes

First- and second-payment success should move toward comparable agents', and new debt per policy should fall. The agency cap grows or shrinks.

> **Willing to lose:** Summit's poorly fitted volume, Marcus if he walks, and Summit itself if it leaves rather than accept a cap. **Not negotiable:** a ceiling on what we advance.

Assumptions. Today's advance is roughly 90% of first-year pay, so green sales are paid about the same as now. Ethos can confirm checks with customers directly, see each agent's exposure and why payments fail, and change advance terms with notice. The example treats first-year commission as one year of premium; all numbers are illustrative. Optional prototype: Earned Trust simulator.